Pricing in the Age of AI

How to price AI-enabled work, and how AI makes you better at yours.

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PART 1 · PRICING AI-ENABLED WORK

From value discovery to value capture.

Pricing AI-enabled work is pricing value. The same four steps, on every matter.

STEP 1

Value Discovery

Name what the AI changes, and what the outcome is worth to the client.

STEP 2

Value Story

Put the value in the client's terms before anyone asks about hours.

STEP 3

Value Proof

Back it with evidence: market, alternative, risk, your own data.

STEP 4

Value Capture

Pick the structure that fits the goal, and price to the value.

Hours tell you the cost. Value tells you the price.

PART 1 · VALUE DISCOVERY

First, name what the AI actually changes.

Efficiency

Same work, far fewer hours. Two weeks becomes two days.

Pricing lens: who keeps the time saved?

New capability

Work that wasn't possible before: new apps, full-population review.

Pricing lens: price the new value, not the hours.

Coverage & quality

Same hours, far more depth: every page read, more scenarios run.

Pricing lens: lower client risk has value.

Power users build tools that reshape a single matter.

Everyday users make small, steady gains across hundreds of matters.

DISCUSS Where have you already seen AI change a matter, and which of the three was it?

PART 1 · VALUE DISCOVERY

Who built it shapes how you price it.

There's no single firmwide AI strategy. Know the tool, and who's using it, before you price the matter.

If the tool is…	Firmwide	Practice group / workstream	Partner / team
Who builds and pays	The firm, centrally	Practice or workstream leads	One partner and their team
How it's used	Every matter, the same way	Repeatable work in one area	Their matters, their way
How the price is set	Firm policy: rates or a set fee	A practice pricing playbook	Matter by matter, with the partner
Pricing's job	Apply it consistently	Build the playbook	Learn the tool, then price it

Same AI, different owners, different pricing answers.

PART 1 · VALUE DISCOVERY

Pricing AI is pricing an AFA.

Same discipline as any alternative fee. AI is one more input to the cost model.

THE WORK

Which tasks does the tool touch, and what share of the matter is that?

REUSE

Is this a one-off, or will it run on every similar matter?

INVESTMENT

Who built it, what did it cost, and who maintains it?

REVIEW

How much lawyer time still goes into checking the output?

THE CLIENT

Do they know AI is used? Do their guidelines say anything about it?

FALLBACK

If the tool fails mid-matter, what does delivery look like?

No wrong answers. But always bring a direction.

PART 1 · VALUE DISCOVERY

Where the value sits.

Ask what the outcome is worth to the client, not what it costs us to produce.

SPEED

Faster answers, earlier decisions.
What is a week sooner worth to them?

CERTAINTY

A known price, a known outcome.
How much does budget certainty matter here?

RISK REDUCED

Full review, issues caught early.
What would a missed issue cost them?

NEW CAPABILITY

Work they couldn't get before.
What decision does this let them make?

THE ALTERNATIVE

What they'd pay elsewhere.
Who else could do this, and for what?

THE RELATIONSHIP

More matters, a stronger panel seat.
What is this client worth over five years?

If you can't name the value, you'll end up pricing the hours.

PART 1 · VALUE STORY

“Where are the AI savings?”

Answer the question, then put the value in the client’s terms.

1 · ACKNOWLEDGE

It’s fair. They use AI too, and some savings are already in the bill.

2 · REFRAME

Same budget, more capability: full review, more scenarios, earlier risk flags.

3 · REDIRECT

Point to what AI can’t do: strategy, negotiation, accountability.

Where to give: pass savings through

Document review · extraction · first drafts · diligence summaries

Where to hold: price for value

Judgment · strategy · negotiation · in-person counsel · the tool investment

VALUE STATEMENT Because of **[capability]**, you get **[outcome]**, which means **[business impact]**.

“AI makes the production faster. What you pay us for is what we do with that time.”

PART 1 · VALUE PROOF

Back the value with evidence.

Market and alternative

- What would the alternative cost them?
- Where does the market sit?
- What did this work cost before the tool?

Outcome and risk

- What does finishing sooner mean for them?
- What risk does fuller review remove?
- What would a miss cost them?

Firm economics

- Does it clear the profit floor?
- How fast is the build paid back?
- How are matters 2 through 10 priced?
- What does it do to realization and partner credit?

Your own data

- Write the assumptions down up front
- Compare actuals when the matter closes
- Use the results to justify the next price

PART 1 · VALUE CAPTURE

Start with the goal, then pick the structure.

If the goal is…	The priority is…	Consider…
Win the work	Price to beat the panel	Competitive fixed fee
Protect margin	Keep the savings in the firm	Value-based fixed fee
Recover the build	Get paid back for the tool	Reduced hours + tool fee
Grow wallet share	More matters, over more years	Subscription or portfolio pricing
Differentiate	Be the firm known for this	Capability-led new offering

Decide the goal first. The hours are an input, not the answer.

PART 1 · VALUE CAPTURE

Worked example: two weeks down to two days.

BEFORE THE TOOL

80 hours

$80K at $1,000 blended



WITH THE TOOL

16 hours

$16K at the same rate

Illustrative figures. Swap in the partner's actual numbers.

1 · Bill hourly at actual time — **$16K**

Client keeps all the savings. Firm revenue drops 80%.

2 · Value-anchored fixed fee — **$40–50K**

Client pays less than before. Firm keeps more of the efficiency gain.

3 · Reduced hours + tool fee — **$16K + fee**

Savings shared. The build cost is recovered visibly.

4 · Portfolio or subscription — **Per period**

Volume locked in across matters. The tool is priced once.

DISCUSS Which option would you take to the partner, and why is that the right price?

PART 2 · AI AND THE PRICING ROLE

What you can build

Agents and HTML files: two ways to turn your expertise into tools.

PART 2 · AI AND THE PRICING ROLE

AI agents: your repeatable analyst.

Written instructions plus reference files that run a task the same way every time. No code.



RFP intake

Reads the full request. Returns scope, risks, client goals and fee options.

Narrative classifier

Tags time entries by phase and task across a matter.

Rate-request reviewer

Checks a request against client terms and rate history.

Proposal drafter

Turns your notes into a first-draft proposal or fee letter.

- Consistent quality
- Minutes, not days
- More time to find the value

PART 2 · AI AND THE PRICING ROLE

HTML files: Excel on steroids.

Everything a spreadsheet does, plus the write-up. Built by describing what you want.

Raw data → **Tell your AI tool what you want** → **Client-ready in minutes**

Analyze

Live tables, charts and what-if sliders on your own numbers.

Draft

Proposals, fee letters and budget memos written from the data.

PDF

Save any view as a clean, branded PDF for the client.

Email

A formatted summary, ready to paste into a partner email.

- Start with one sentence
- Opens in any browser
- No code, no IT ticket

TRY SAYING *"Here's our billing export. Show fees by phase, flag overruns, and draft a summary for the partner."*

PART 2 · AI AND THE PRICING ROLE

The next skill: putting how you think into words.

Agents and HTML files are only as good as the thinking you give them.

THE LOGIC

Spell out the rules

The steps and the if-thens: “If the increase is over 5%, flag it and say why.”

THE DETAIL

Say the obvious

Inputs, exceptions and what good looks like. What’s obvious to you isn’t to the tool.

YOUR THINKING

Teach, don’t tell

Describe how you decide, as if training a new analyst. Then test that it holds.

THE FIT

Know where it goes

Which step in your workflow, what goes in, what comes out, and who checks it.

If you can’t explain it to a new analyst, you can’t explain it to an AI.

TRY THIS Write down how you review a rate request, step by step. That page is your first agent.

PART 2 · AI AND THE PRICING ROLE

The numbers are getting cheap. Trust isn’t.

AI is taking over the analysis. What’s left is judgment and relationships.

The rate decision

AI HANDLES
Rate history, benchmarks and scenarios.

YOU BRING
Judgment, and a call you stand behind.

PARTNER GETS
A decision in minutes.

The rate conversation

AI HANDLES
The data pack and the talking points.

YOU BRING
Reading the client and choosing the words.

PARTNER GETS
A conversation they’re ready for, or don’t need to have.

The answer

AI HANDLES
The analysis, in minutes.

YOU BRING
Knowing what the partner actually needs.

PARTNER GETS
The answer, in their language.

WHAT MATTERS NOW Reading the room · Framing the recommendation · Handling pushback · Owning the call

PART 2 · AI AND THE PRICING ROLE

The Excel moment: we've been here before.

1979

VisiCalc

Recalculating a ledger by hand becomes instant.

1983

Lotus 1-2-3

The spreadsheet becomes the reason to buy a PC.

1985

Excel

Over the next decade, a specialist skill becomes the baseline.

WHAT THE TOOL TOOK

Arithmetic and re-keying. Bookkeeping clerk roles declined.

WHAT PEOPLE GAINED

Judgment and advice. Accountant and analyst roles grew.

DISCUSS What's our version of "recalculating by hand" in pricing today?

AI changes the hours.
You decide what the work is worth.

TRY IT YOURSELF

Matter Budget Builder

One HTML file: build a budget by phase and task, price it, and export the client estimate.

https://pricing-ops-lab.github.io/Matter-Budget-Builderv2/